SUSTAINABLE PROCUREMENT POLICY

(Union Petrochemical Public Company Limited)

Union Petrochemical Public Company Limited (the "Company") is committed to conducting its chemical import, distribution, and service business responsibly. The Company recognizes the importance of procurement that considers economic, environmental, social, and governance (ESG) impacts throughout the supply chain. Accordingly, the Company has established this Sustainable Procurement Policy to ensure that the selection of products, raw materials, vendors, service providers, and business partners is conducted responsibly and in alignment with the Company's sustainability policy, applicable laws, and relevant requirements.

This Policy serves as a guideline for selecting new business partners, assessing existing business partners, and procuring products, raw materials, services, and activities related to the Company's supply chain. The Company expects its business partners to operate ethically, act responsibly toward the environment, society, and stakeholders, and work together to develop a resilient and sustainable supply chain over the long term.

This Sustainable Procurement Policy sets out the following practices for the Company's executives, employees, and business partners:

1. Green Procurement and ESG

Conduct procurement with due consideration for Green Procurement principles and ESG, taking environmental, social, and governance impacts into account throughout sourcing, selection, assessment, and performance monitoring of business partners. The aim is to obtain products, services, and business partners that are high-quality, safe, responsible, and appropriate to the Company's business.

2. Environmentally Responsible Products and Materials

Promote the procurement of environmentally responsible products and raw materials by considering efficient resource use, waste reduction, reuse, recycling, alternative materials, appropriate packaging, and Circular Economy principles. Where appropriate, consider impacts throughout the life cycle of products and raw materials, provided that quality, safety, and product requirements are not compromised.

3. Suppliers' Environmental Management

Consider business partners that have environmental management systems and comply with applicable environmental laws and requirements. Give due consideration to partners with appropriate environmental standards or management systems, such as ISO 14001 or other relevant standards, and encourage effective management of energy, greenhouse gas emissions, waste, and chemicals.

4. Value for Money and Total Cost

Conduct procurement with due consideration for value for money, efficiency, and effectiveness in terms of quality, price, safety, delivery capability, service, and total cost. The Company shall not base decisions solely on purchase price, but shall also consider risk, quality, continuity of supply, and ESG factors, as appropriate.

5. Fair and Transparent Supplier Selection and Assessment

Select and assess business partners systematically, fairly, transparently, and in a verifiable manner, using criteria appropriate to the type of product or service and the partner's level of risk. Give due consideration to partners that operate ethically, act responsibly toward society and the environment, and comply with the law.

The Company shall exercise caution when transacting with individuals or legal entities involved in corrupt conduct or presenting a risk of legal violations.

6. Ethical Procurement and Fair Treatment

Conduct procurement in accordance with business ethics and without taking unfair advantage of business partners. Provide accurate, complete, and clear information about products, procurement conditions, prices, delivery, and other requirements. Treat business partners equally and fairly, and provide opportunities for them to share opinions or suggestions that may improve procurement processes.

7. Human Rights and Labor Standards

Procure products, services, and chemicals from business partners that respect human rights and labor standards. Child labor, forced labor, and discrimination are not accepted. Encourage business partners to treat workers fairly, provide appropriate working conditions, and comply with applicable labor laws and human rights principles

8. Occupational Health, Safety, and Chemical Management

Procure from business partners that prioritize occupational health and safety and appropriate chemical management, particularly those involved in the production, storage, transportation, or provision of chemical-related services. Consider compliance with safety requirements, hazardous chemical management, waste management, and emergency prevention measures

9. Responsible Sourcing and Traceability

Promote responsible procurement of products and raw materials by considering information about their origins and the traceability of key products and materials. As appropriate to the products and supply chain, consider risks relating to the environment, deforestation, biodiversity, and conflict minerals or other high-risk raw materials.

10. Supplier ESG Management and Corrective Action

Encourage business partners to continuously improve their environmental and social management. The Company shall communicate its Supplier Code of Conduct and ESG requirements to relevant business partners, monitor and assess compliance according to risk level, and require corrective action when deficiencies are identified.

11. Supplier Risk Assessment

Assess business partner risks appropriately, covering economic, environmental, social, governance, safety, and supply chain continuity aspects. Identify high-risk partners and establish additional monitoring, audits, or risk controls as appropriate.

12. Supplier Development

Encourage the development of qualified small and medium-sized enterprises (SMEs) and local suppliers by providing fair access to procurement processes. Support the development of knowledge, capabilities, and standards in quality, safety, and ESG to strengthen competitiveness and foster long-term mutual growth.

13. ESG Integration into Supplier Assessment

Integrate ESG principles into supplier assessment and selection, taking into account environmental, social, human rights, safety, ethics, and governance factors, as appropriate. Encourage supplier audits covering environmental, labor, and safety matters according to the level of risk.

14. ESG Requirements in Contracts

Encourage the inclusion of ESG, human rights, safety, environmental, and anti-corruption requirements in contracts or procurement terms, as appropriate. The Company may suspend or discontinue purchases from business partners that commit serious violations and fail to implement corrective action within the specified timeframe.

15. Supply Chain Continuity

Promote supply chain continuity by assessing risks associated with sourcing channels, manufacturers, geopolitical conditions, transportation and logistics, natural disasters, price volatility, and other factors that may affect supply capability. Develop and review a Business Continuity Plan (BCP) and alternative sourcing measures as appropriate.

16. Trade and Sanctions Compliance

Conduct procurement in compliance with applicable laws and trade requirements, including relevant sanctions and trade compliance obligations. Screen business partners and transactions according to risk level and do not engage in transactions that may violate applicable laws or requirements.

17. Grievance and Whistleblowing Channels

Encourage business partners to provide channels for complaints, whistleblowing, and reporting concerns relating to human rights, labor, the environment, safety, or business ethics. Encourage appropriate handling of complaints and measures to prevent retaliation against whistleblowers.

18. Capacity Building and Collaboration

Promote the development of knowledge and capabilities among employees and business partners in sustainable procurement, ESG risk management, and responsibility throughout the supply chain. Maintain good relationships and collaborate with business partners to support sustainable mutual growth.

All executives and employees of the Company are responsible for supporting, promoting, and complying with this Policy and the Company's sustainable procurement management framework. The Company shall monitor implementation, review the Policy's effectiveness, and continuously improve its practices in line with the business context, risks, applicable laws, and stakeholder expectations.

This Policy shall take effect from 6 March 2025 onward

Signature: 

(Mr. Perapol Suwannapasri)

Managing Director